

deceived the insurance company and the second driver by failing to tell the whole truth. It's an easy trap that Satan can use. As Proverbs 11:20 says, "The perverse in heart are an abomination to the Lord, but the blameless in their walk are His delight."

WHOLE LIFE VERSUS TERM

Life insurance falls into two basic categories: cash value and term.

Cash value insurance is known also as whole life, universal life, endowment, permanent insurance, or any number of other trade names. Its basic feature is that it is usually purchased for an individual's lifetime and accumulates some cash reserves from the paid-in premiums.

Cash value insurance is normally more costly at a younger age than is term. In a young family with limited funds available it represents, at best, a questionable purchase. At worst, cash value insurance can be so costly that many families buy inadequate amounts of insurance at a time when their need is the greatest. Then if the wage earner dies, the family is the loser because the needed income benefits are missing.

The normal sales program for cash value is based on three premises:

- (1) It is "permanent" insurance and will remain in force for the individual's entire lifetime while term insurance will ultimately cease.

- (2) It builds a cash value that is the equivalent of a savings plan.

- (3) You are actually "buying" the cash value insurance while you only "rent" term.

Let's examine each of these statements from the viewpoint of the family.

What does "whole life" or permanent insurance really mean? The insurance is available for the entire lifetime of the insured, but so are the monthly premiums. Some policies can be "paid up" in a given number of years or at a predetermined age, but the costs are higher. Usually these plans, called minimum de-